(iii) Format of total creditors account

Dr. **Total creditors account** **Cr.**

Particulars	₹	Particulars	₹
To Cash A/c (paid)	xxx	By Balance b/d	xxx
To Bank A/c (cheques paid)	xxx	(opening balance)	
To Bills payable A/c		By Purchases A/c	xxx
(bills accepted)	xxx	(credit purchases)	
To Discount received A/c	xxx	By Bank A/c	xxx
To Purchase returns A/c	xxx	(cheques dishonoured)	
To Balance c/d	xxx	By Bills payable A/c	xxx
(closing balance)		(dishonoured)	
	xxx		xxx

Illustration 14

From the following details, calculate credit purchases.

Particulars	₹
Creditors on 1st April, 2018	50,000
Returns outward	6,000
Cash paid to creditors	1,60,000
Creditors on 31st March, 2019	70,000

Solution

Dr. **Total creditors account** **Cr.**

Particulars	₹	Particulars	₹
To Cash A/c (paid)	1,60,000	By Balance b/d	50,000
To Returns outward A/c	6,000	By Purchases A/c (Credit)	**1,86,000**
To Balance c/d	70,000	(balancing figure)	
	2,36,000		2,36,000

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